PROBLEM STATEMENT

Merchant Banking Business for Zerodha

A major Indian retail stockbroker has applied to become a merchant banker.

In April 2026, the Zerodha group filed an application with the Securities and Exchange Board of India (SEBI) for a Category 1 merchant banking licence. The company confirmed the filing on record but declined to share its business plans until the licence is granted. A Category 1 licence is the top tier. It permits the holder to act as a lead manager or book running lead manager to public issues, to underwrite them, and to advise on them. In short, it lets the holder run IPOs, not just sell them.

This is a move upstream. For years Zerodha has been one of the largest distributors of IPOs to retail investors in the country. It puts the issue in front of the investor and collects the application. Merchant banking is the other side of the table. It is the business of winning the mandate from the company that wants to list, pricing the issue, doing the diligence, building the book, and getting the shares placed.

The question for this competition is not whether Zerodha can get the licence. Assume it does. The question is what it should do with it.

BACKGROUND · CONTEXT

The competitive challenge

The Indian IPO merchant banking league is a closed, relationship-driven business. It is dominated by a small set of incumbents such as Kotak Mahindra Capital, Axis Capital, ICICI Securities, JM Financial, IIFL, Motilal Oswal, Nuvama, SBI Capital, and the global banks on the largest deals. These firms win mandates on the back of assets that took decades to build:

- Deep relationships with the promoters and boards of companies that are years away from listing.
- Institutional sales desks that can place large blocks with domestic mutual funds, insurers, and foreign investors (the QIB book).
- Sell-side research teams that cover sectors and issuers.
- A syndicate network and a track record of pricing and closing large issues.

Zerodha has almost none of this. It has no institutional placement desk, no equity research coverage of issuers, and no history of corporate origination relationships. By the traditional scorecard, it is a new entrant with a weak hand.

But Zerodha holds an asset that no incumbent merchant banker has, and that no incumbent can easily build. It owns the retail distribution rail directly. It reaches millions of active retail investors through its own platform, at close to zero marginal cost, without paying anyone for distribution. On the country’s largest issues it has demonstrated that it can move meaningful retail subscription on the strength of its own reach alone, rather than buying it.

So the two sides of the table are asymmetric. The incumbents own the supply side of an IPO, which is the issuer relationship and the institutional book. Zerodha owns a large slice of the demand side, which is the retail investor. The strategic puzzle is whether owning the demand side is a strong enough wedge to break into a supply-side business.

There is a second asset that cuts against the weak-hand story, and it is capital. Zerodha is reported to hold the largest net worth of any broker in the country. This inverts the usual entry problem. The ₹50 crore net-worth bar that the 2025 regulations impose, and that will squeeze out smaller boutique entrants, is trivial for Zerodha to clear. It matters for a second reason too. A Category 1 licence permits underwriting, and a balance sheet large enough to absorb real underwriting risk is itself something an issuer will pay for. Most boutique bankers cannot credibly offer hard underwriting. Zerodha can. So its net worth is not a compliance checkbox. It is a weapon, if the strategy chooses to use it.

THE BRIEF

The problem statement

> **How should Zerodha enter merchant banking so that its retail distribution advantage becomes a durable competitive weapon rather than a novelty, and what business model, target segment, and go-to-market strategy give it a defensible position against entrenched incumbents?**
>
> A strong answer does not simply say “leverage the retail base.” It specifies where in the IPO value chain Zerodha should compete, which issuers it should target first, how it should price its offer, what capabilities it must build, borrow, or buy, and how it navigates the conflict of being both distributor and banker on the same issue.

WHAT TO ANSWER

Questions to address

01 **Where in the value chain does it play?** Should Zerodha aim to be a lead book running manager on mainboard mega-IPOs, where it will sit alongside or beneath incumbents and needs institutional muscle it does not have? Or a co-manager whose role is explicitly the retail leg? Or should it own a different segment entirely, such as mid-market issuers, new-age and consumer-tech companies, or the SME IPO market, where retail reach and a direct-to-investor narrative matter more than a QIB book?

02 **Who is the first customer?** Which type of issuer values what Zerodha uniquely offers? Profile the company for whom “we can reach retail India directly, credibly, and cheaply” is the deciding factor in choosing a banker. Consider consumer brands, digital-first companies, and issuers where retail sentiment and oversubscription optics drive the listing.

03 **What is the revenue and pricing model?** Merchant banking fees, underwriting economics, and distribution commissions are distinct pools. How should Zerodha price a mandate? Does it discount the banking fee to win share, monetise through the distribution and platform layer it already controls, or bundle the two? What does its cost structure allow that a full-service incumbent’s does not?

04 **Build, borrow, or partner for the missing capabilities?** Zerodha lacks institutional placement, research, and origination. For each gap, decide whether to build it, hire it, or partner. Is there a model where Zerodha runs the retail engine and co-manages the institutional side with a partner, at least at the start? What does it never need to build because of what it already is?

05 **Does it put the balance sheet to work?** Zerodha can afford to underwrite in a way most bankers cannot. Should hard underwriting, or anchoring an issue with its own capital, be part of the pitch to issuers, or does that import risk that does not belong on a broker's balance sheet? Where is the line between using capital as a differentiator and using it as a crutch?

06 **The conflict-of-interest problem.** Zerodha would be advising and pricing an issue while also being the platform on which its own customers apply for that issue. The 2025 regulations already bar a merchant banker from managing its own issues or issues in which its key personnel hold significant stakes. Where are the softer conflicts, how does Zerodha govern them, and how does it protect retail trust, which is its actual brand equity, from any perception that it is talking its own book?

07 **The moat.** If this works, what stops an incumbent from replicating it, or another large retail platform from doing the same thing? Is the retail rail genuinely defensible, and if so, why? What is the second move that compounds the first?

WHAT BOUNDS THE ANSWER

Constraints and context

01 **Regulatory bar.** Under the SEBI (Merchant Bankers) (Amendment) Regulations 2025, effective January 2026, a Category 1 merchant banker must reach a net worth of ₹50 crore (phased, ₹25 crore by January 2027 and ₹50 crore by January 2028), maintain a liquid net worth of ₹12.5 crore, and generate at least ₹25 crore of cumulative revenue from permitted activities over any three preceding years, first assessed from FY2029. The regime also requires an independent compliance officer and a principal officer with at least five years of financial markets experience. Note that the capital bar is not the binding constraint for Zerodha, given its balance sheet. The binding constraints are capability, relationships, and the revenue test.

02 **Brand.** Zerodha's brand is bootstrapped, low-cost, no-advertising, and built on retail trust and plain dealing. Any strategy that spends that trust is expensive in a way a balance sheet does not show.

03 **Competitive clock.** The retail broking market is contested and fast-moving, with several large platforms fighting for the same active clients. The retail rail is an advantage today, not a permanent one.

WHAT TO SUBMIT

Deliverables

01 A one-line positioning statement for Zerodha's merchant banking business.

02 A recommended entry segment and the profile of the first three target issuers, with reasoning.

03	A go-to-market and pricing model, including how banking fees and distribution economics interact.
04	A capability plan (build, borrow, partner) for the institutional and research gaps.
05	A conflict-of-interest and governance framework.
06	A three-year view of what winning looks like and how it is measured.

SUBMISSION FORMAT

Deck requirements by round

01	**Round 1.** A two-page deck (A broad overview)
02	**Round 2.** An eight-page deck (Deep dive into your solution)

* Note this is excluding the appendix and the title page.

QUERIES

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